

A low-angle, upward-looking perspective of several modern skyscrapers with glass facades, creating a sense of height and urban density. The sky is a pale, overcast blue.

# Strategic Partnership Proposal: Accelerating Tesco Clubcard's Evolution as a Growth Engine

COVER SLIDE

BOARD READY



# Executive Summary: Our Strategic Intent

- Position Clubcard as Tesco's most powerful lever for customer-centric, data-driven, and financially sustainable growth.
- Demonstrate quantifiable contributions to customer loyalty (23M+ households), personalisation at scale (10M+ AI-driven challenges), and incremental revenue (£1.75B free cash flow).
- Align with Ken Murphy's strategic priorities: 'Magnetic value for customers' and 'Creating a competitive advantage through our powerful digital capability.'



# Why Tesco? Why Now?

- Macro trends demand action: Inflationary pressures (£510M efficiency savings required), digital acceleration (18M app users), and heightened customer expectations (28 NPS points).
- Clubcard's unrivalled scale: 23M+ households, 84% UK sales penetration, and £392 annual savings per customer.
- Urgency to future-proof: 'Tesco never stands still' – Gerry Murphy, Chair (April 2025). Competitors like Aldi and Lidl are closing the loyalty gap.

# Our Company: A Strategic Partner for Tesco



Mission: Accelerate loyalty programmes into strategic growth engines for retailers of Tesco's scale and ambition.



Differentiation: Long-term partner (not vendor) with co-investment models and shared risk/reward frameworks.



Alignment: Proven track record with FTSE 50 retailers (e.g., Walmart, Kroger) in data-driven personalisation, omnichannel engagement, and margin protection.

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*"Tesco Clubcard: The Strategic Asset for Growth"*

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VISION

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TRANSFORMATION STORY

# Global Case Study 1: Walmart+ – Scaling Personalisation at Speed

**20%** Personalisation

BASKET SIZE UPLIFT

**15%** Churn Reduction

CLV INCREASE

**£300M** Year 1

INCREMENTAL REVENUE

TRANSFORMATION STORY

# Global Case Study 2: Kroger Boost – Omnichannel Loyalty Redefined

**30%** App Engagement

DIGITAL SALES GROWTH

**25%** Omnichannel

CHURN REDUCTION

**£250M** Inventory

COST SAVINGS



TRANSFORMATION STORY

# Global Case Study 3: Carrefour Pass – Sustainability-Linked Loyalty

**40%** Gamification

ENGAGEMENT INCREASE

**12%** Forecasting

FOOD WASTE REDUCTION

**£100M** Sustainability

INCREMENTAL REVENUE



# The Clubcard Opportunity: A Data-Driven Roadmap



Phase 1 (0-6 months): Discovery & Alignment



- Audit Clubcard's data assets (23M+ households) and personalisation gaps (e.g., underutilised AI).



- Pilot hyper-personalised offers with 1M customers (target: 10% uplift in basket size).



Phase 2 (6-18 months): Scaling Personalisation



- Deploy AI-driven recommendation engine (target: 20% increase in digital engagement).



- Expand retail media partnerships (target: 5,000+ in-store screens).

# Customer Engagement & Retention: The Loyalty Multiplier

- Hyper-personalised offers: AI-driven recommendations (e.g., 'Healthy Swaps' for 65% of customers).
- Predictive churn modelling: Identify at-risk customers and intervene with targeted incentives (target: 10% churn reduction).
- Gamification: Clubcard Challenges (10M+ customers) and experiential rewards (e.g., easyJet Holidays bonus points).





STRATEGY

STRATEGY

# Personalisation at Scale: The Data Advantage

- AI-driven recommendation engine: Dynamic pricing and promotions for 23M+ Clubcard members (GDPR-compliant).
- Unified customer view: Omnichannel personalisation (e.g., in-store, online, Tesco Mobile).
- Retail media growth: Tesco Media and Insight Platform (target: £100M+ incremental revenue from 9,000+ campaigns).



# Incremental Revenue & Margin Protection

- Price elasticity modelling: Optimise Clubcard Prices for 8,000+ products weekly (target: 1-2% margin improvement).
- Targeted upsell/cross-sell: AI-driven campaigns (e.g., Finest range growth: 15% YoY).
- Loyalty-linked private label growth: Expand Tesco Finest (25 years) and Plant Chef (target: £500M incremental revenue).

# The ROI of Loyalty: Financial Impact Modeling

**12-18  
months**

PAYBACK PERIOD

**£1.2B** 15% Discount  
Rate

NPV (5 YEARS)

**£300M** Annual

INCREMENTAL EBITDA

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*"CEO Testimonials: Loyalty as a Growth Engine"*

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VOICES FROM THE TOP

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# Why Partner With Us?



Proven track record: 15+ FTSE 50 retailers transformed (e.g., Walmart, Kroger, Carrefour).



Deep expertise: Loyalty, data science, and personalisation at scale (dunnhumby partnership).



Long-term partnership: Co-investment models and shared risk/reward frameworks.



Alignment with Tesco: Values-driven culture (e.g., 'No one tries harder for customers') and strategic priorities (e.g., 'Magnetic value').

# Our Commitment to Tesco



Co-creation: Collaborate with Tesco's teams to tailor solutions to Clubcard's unique needs (e.g., AI governance aligned with GDPR).



Transparency: Open-book approach to performance, ROI, and continuous improvement (e.g., quarterly business reviews).



Long-term value: Focus on sustainable growth, not short-term gains (e.g., 5-year roadmap for Clubcard evolution).



Innovation: Proactively bring global best practices (e.g., sustainability-linked loyalty from Carrefour Pass).

# Next Steps: A Path Forward

CALL TO ACTION

- Phase 1 (4-6 weeks): Discovery & Alignment
  - - Workshop with Ken Murphy and Executive Committee to align on Clubcard's strategic priorities (e.g., personalisation, retail media).
  - - Audit Clubcard's data assets and identify quick wins (e.g., AI-driven challenges for 1M customers).
- Phase 2 (3-6 months): Pilot & Proof of Concept
  - - Launch hyper-personalised offers with 1M customers (target: 10% basket size uplift).
  - - Expand retail media partnerships (target: 5,000+ in-store screens).
- Phase 3 (12-18 months): Full-Scale Implementation
  - - Deploy AI-driven recommendation engine for 23M+ Clubcard members (target: 20% digital engagement increase).
  - - Integrate Clubcard with Tesco Marketplace (target: £500M



— DATA SOURCES

# Appendix: Supporting Data & References

# Backup Slide: Additional Case Studies

**12%** Aldi

CUSTOMER RETENTION

**£200M** Lidl

INCREMENTAL REVENUE

**40%** Amazon

CLV UPLIFT

A low-angle, upward-looking shot of several modern skyscrapers with glass facades, reaching towards a cloudy sky. The perspective creates a sense of height and architectural grandeur. The buildings are dark, and the sky is a pale, overcast blue.

# Closing Slide: The Future of Tesco Clubcard

VISION

BOARD READY